



Mountain Man Brewing Co.: Bringing the Brand to Light

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By submitting this deck of case slides, the members of our team affirm that we all participated in the analysis of the case and the creation of this document

MMBC – Success, Decline and Steps to Resurgence

Goals for Chris

- Chris should aim to revamp Mountain Man Brewing Company (MMBC) by **introducing a product** that appeals to younger drinkers while **preserving** the brand's core values of authenticity and quality.
- Given the declining sales in traditional beer segments and the rise in light beer popularity, Chris's goal should focus on **capturing a portion of the light beer market** without diluting the brand equity established by Mountain Man Lager. He needs to balance the introduction of Mountain Man Light to attract new customers and grow market share while maintaining loyalty among existing customers.

Success of MMBC

A lot of factors played in the success of MMBC such as:

- A **single-product focus** on Mountain Man Lager, known for its bitter flavor and higher-than-average alcohol content, which created a distinct market position.
- The brand's **association** with authenticity, tradition, and local heritage, particularly in West Virginia.
- Effective **grass-roots marketing strategies** that built brand loyalty among blue-collar, middle-to-lower-income men over 45.

Sales Decline Factors

- **Consumer Preference Shift:** Light beer popularity (4% annual growth) caused a 2% revenue decline for MMBC's traditional lager in 2005.
- **Overall Market Decline:** U.S. per capita beer consumption dropped 2.3% since 2001, further impacting sales.
- **Distributor Focus Shift:** Repealed promotional laws led distributors to prioritize high-volume brands, potentially marginalizing MMBC.

If Light Beer Is Introduced!

Pros

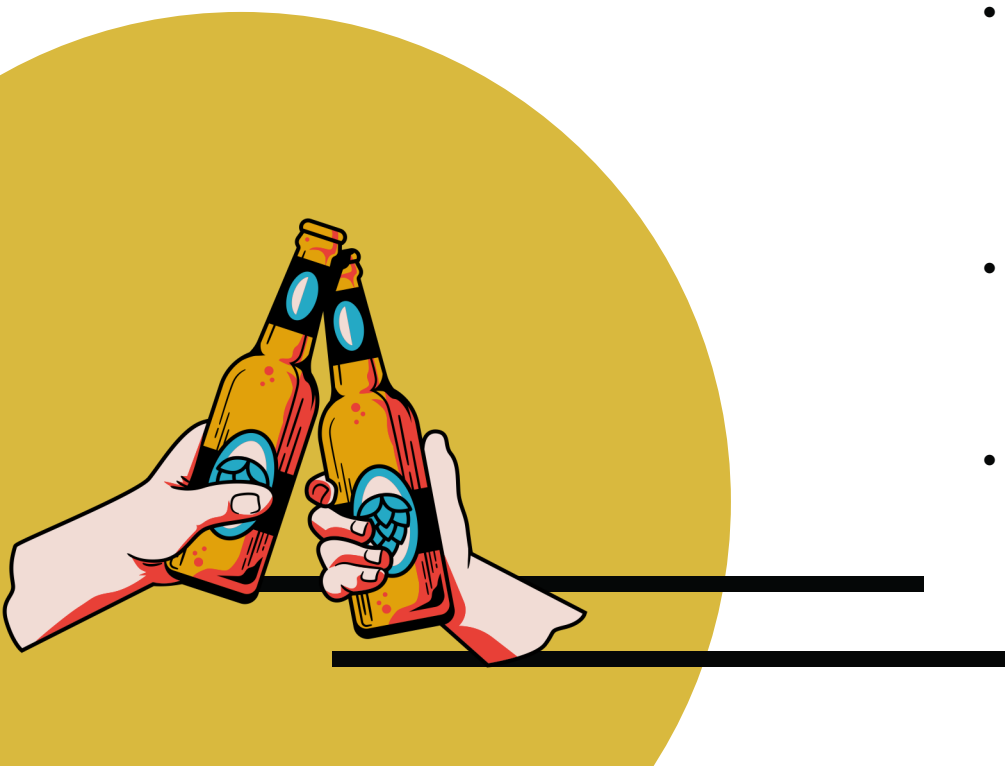
- Expand consumer base by attracting younger demographic and female consumers
- Increase awareness and consumption of Mountain Man Lager
- Light beer has 50.4 share of the current beer market, and it is growing rapidly

Cons

- Risk of cannibalization and eroding Mountain Man brand equity
- Retailers might not give incremental shelf space for light beer
- Risk of being lost in the sea of new-products introduction due to lack of marketing power
- The potential new product line may not fully offset the additional costs in production and marketing, including the potential revenue loss from the lager

Why Such A Strong Brand

- The combination of a **quality product**, a **focused brand identity** emphasizing tradition and authenticity, and **effective marketing strategies** resonated with the core demographic.
- Focus on a **niche market** allowed MMBC to maintain a strong presence in its region despite competition from larger breweries.
- The brand's alignment with the **values** and **preferences** of its **target audience** fostered deep loyalty, making Mountain Man Lager a significant part of the community's identity.



Assessing the Financial Implications of Introducing a Light Beer



Break-Even Analysis	
Price per Unit (P, in \$)	97
Fixed Costs	
Marketing (in \$)	900,000
SG&A (in \$)	750,000
Total Fixed Costs (TFC, in \$)	1,650,000
Variable Costs per Unit (V, in \$)	72
Break-Even Units (TFC / (P-V), in barrels)	65,012
65,012 barrels of light beer are required to break even	

MMBC LAGER:		2005	2006 (Forecast)	2007 (Forecast)
Revenue (in \$)	2% Declining Sales	50,440,000	49,431,200	48,442,576
	5% Cannibalization		46,959,640	46,020,447
	10% Cannibalization		44,488,080	43,598,318
	20% Cannibalization		39,544,960	38,754,061
<u>Loss (in \$)</u>	5% Cannibalization		2,471,560	2,422,129
	10% Cannibalization		4,943,120	4,844,258
	20% Cannibalization		9,886,240	9,688,515
The value of "Loss" represents the revenue lost from MMBC Lager with respect to 3 different cannibalization rates				
MMBC LIGHT BEER:		2005	2006 (Forecast)	2007 (Forecast)
Total Market (in barrels)	4% Compound Annual Growth Rate	18,744,303	19,494,075	20,273,838
MMBC Market (in barrels)	0.25% Compound Annual Growth Rate		48,735	101,369
Unit Price (in \$ per barrel)		97	97	97
Revenue (in \$)			4,727,313	9,832,811
The value of "Revenue" represents the revenue gained from MMBC Light Beer with respect to 3 different cannibalization rates				
Net Revenue (in \$)	5% Cannibalization		2,255,753	7,410,682
	10% Cannibalization		(215,807)	4,988,553
	20% Cannibalization		(5,158,927)	144,296
The value of "Net Revenue" represents the net revenue from launching the MMBC Light Beer with respect to 3 different cannibalization rates. The positive number means we can cover the losses from MMBC Lager and become profitable, and vice versa				

Things to be considered

- It is important to consider the potential consequences of entering a market of light beer which constitutes over 50% of the total barrels consumption.
- While it may result in increased revenue, there is a risk that the brand's reputation could be negatively impacted.
- Chris must carefully evaluate the feasibility of introducing a light beer option. This should involve analyzing the break-even point for light beer as well as assessing the potential for cannibalization during the period it takes to reach the break-even point.

Feasibility in the longer run

- A financial forecast can help evaluate if MMBC can cover the losses from Lager's declining sales in next few years by launching light beer.
- Taking into account the possibility of cannibalization (5%-positive, 10%-neutral, 20%-negative) and the 2% declining revenue of the larger, we have determined that **MMBC Light Beer will break even in the third year (2007)**, even if MMBC is in the worst scenario of 20% cannibalization.
- MMBC should optimize distribution channels to capitalize on light beer's 0.25% annual growth and ensure easy availability at both on-premise and off-premise locations.
- It is crucial to establish an effective pricing strategy. Despite light beer having a higher production cost than Lager, the latter is deemed premium. MMBC should consider pricing light beer equally with Lager to prevent customer alienation. Although the margin is lower, it remains optimal.
- In conclusion, we suggest launching MMBC Light Beer, it will be profitable in any case.

Go Lighter, Climb Higher: Yes to Mountain Man Light



- **Segment:** Young drinkers who are health conscious, live, in urban areas, and do not mind drinking light beer
- **Targeting:** Young drinkers aged 21-44
- **Positioning:** A brand for all ages, for all occasions, releasing a “Light Beer”, to celebrate without worrying about health issues

Product

- Make the packaging more visually appealing while preserving the brand’s authenticity
- Introduce light beers to build brand loyalty with younger generation



Price

- Introduce Mountain Man Light as a refreshing light beer but at the same price level as the Lager
- Once the beer is an acquired taste, there can be premium pricing for distinct flavors of light beer in the future



Place

- Target the East-Central Regions where the younger segment prefers light beer to leverage the already famous brand name
- Use distribution channels of the Lager for light beer to increase shelf space
- Gradually broaden to focus on areas based on the area demographics and their alcohol consumption preferences



Promotion

- Encourage loyal customers for word-of-mouth
- Sponsoring events to build a strong brand image at community level
- Free testers for the light beer in bars with more of the younger segment
- Reasonable promotions such that it doesn’t lead to brand dilution

